

FRAGOZA v TREVINO

25CV48144

PLAINTIFF/CROSS-COMPLAINANT'S DEMURRER TO CROSS-COMPLAINT

This matter involves a real property dispute between Cruz Fragoza ("Fragoza") and Stevino Real Estate Investment, LLC ("LLC"), Steven C. Trevino ("Trevino"), Angela M. Barry ("Barry") and William Carter ("Carter") (collectively "Cross-Complainants.")

Now before the Court is a demurrer filed by Fragoza as to the third, fourth, fifth, eighth, ninth and tenth causes of action in the Cross-Complaint.

The Court grants Fragoza's request for judicial notice ("RJN"). Cross-Complainants have not filed any oppositions to the RJN or the underlying Demurrer.

I. Facts

These facts are compiled from the Cross-Complaint and the judicially noticed documents.

On or about November 12, 2008, LLC recorded a grant deed showing that it had purchased real property from Deutsche Bank ("LLC Deed") (CC ¶ 15, Ex. E.) The LLC Deed referred to two "parcels": 1) Lot 2070 of Rancho Calaveras, Units No. 8 and 9, Tract No. 179, and 2) a non-exclusive easement for septic system and appurtenance thereto, on, over, across and through Lot 2069 of Rancho Calaveras Units No 8 and 9, Tract 179. (*Ibid.*) The APN associated with the LLC's Deed is APN 072-019-022. ("APN-2.") APN 2 is commonly known as 2920 Heinemann Drive, Valley Springs, CA. (CC ¶ 6.) Stevino is a member of the LLC which is registered in Texas. (*Id.* ¶ 10.) Barry and Carter have been tenants since 2010 and 2017 respectively. (CC ¶ 9.)

Next to APN 2 is an unimproved lot with a septic system, commonly known as 2912 Heinemann Dr., Valley Springs, CA, APN 072-019-021 ("APN 1.") (CC ¶¶ 4, 5.) Cross-Complainants allege that that APN 1's septic system is for the benefit of APN 2. (*Ibid.*)

On or about September 30, 1998, Roger L. Jones deeded an easement to June A. Jones for the septic system over Lot 2069 for the use of APN 2. (CC, ¶ 11, Ex. A.) On that same date, Roger L. Jones and June A. Jones deeded APN 1 and APN 2 to themselves as Joint Tenants. (*Ibid.*) On or about April 23, 1999, the Joneses then deeded APN 1 and APN 2 to Charles and Anna Benson as Joint Tenants (“Benson Deed”) (CC ¶ 12, Ex. B.) The Benson Deed listed the property being transferred as APN 1 and APN 2, described as Lots 2069 and 2070, as well as the easement for septic system across Lot 2069. (*Ibid.*)

On August 28, 2000, the Fragoza’s purchased APN 1 and APN 2 from the Bensons (“Fragoza Deed”) (RJN 6.) The Fragoza Deed refers to the transfer of Lots 2069 and 2070 as well as the septic easement across Lot 2069. (*Ibid.*) In or around 2008, the Fragoza’s defaulted on a loan and APN2 was sold at a Trustee’s Sale to Deutsche Bank (“Bank Deed”) (RJN, Ex. 3.) The Bank Deed refers to two parcels: 1) Lot 2070 and 2) the easement across Lot 2069 and states that the Bank Deed conveys APN 2. (*Ibid.*)

On or about October 24, 2008, the LLC purchased APN 2 from Deutsche Bank (“LLC Deed”) (CC ¶ 15, Ex. E.) The LLC Deed references APN 2 and refers to two parcels: 1) Lot 2070, and 2) the septic easement over Lot 2069. (*Ibid.*) However, according to Cross-Complainants, the LLC Deed should have listed APN 1 and APN 2 and that the LLC believed it had purchased both lots. (*Id.* ¶¶ 7, 8.) According to Cross-Complainants, the 2005 Deed of Trust which led to the foreclosure and Deutsche Bank purchase should have included APN 1 and APN 2 and did not because of error, mistake or fraud. (*Id.* ¶ 17.)

Cross-Complainants allege that since the 2008 purchase, they have maintained both APN 1 and APN 2. In or around February 22, 2011, the LLC received a letter from the Office of Treasurer-Tax Collector of Calaveras County (the “Tax Office”). (CC ¶19, Ex. G.) The Tax Office letter stated that there was a delinquent tax bill APN 1, “which was included as part of a parcel that is now in your name 072-019-022 [APN 2].” (*Ibid.*) According to Cross-Complainants, the Tax Office indicated that the taxes had been resolved and Cross-Complainants had no idea that someone else was paying taxes on APN 1. (*Id.* ¶ 44.) There are no allegations that Cross-Complainants inquired as to how the tax issue was resolved nor whether any other entity was paying the taxes.

On July 28, 2011, Fragoza notified LLC that he was the owner of APN 1 and that he had intentions to sell APN 1. Fragoza indicated that he was providing notice because the sale could impact the septic system attached to APN 2. (CC ¶ 20, Ex. H.) Later in 2017, Fragoza again wrote to LLC stating that the Tenants were improperly cutting trees on Fragoza’s property and that he intended to place a cross-fence to deal with Tenants’ dogs. (*Id.*, Ex. I.) In 2024, Fragoza’s attorney apparently contacted the LLC as well but

the letter is not provided and the Cross-Complaint is devoid of any information about this letter. Further, there are no allegations related to any response LLC or Tenants may have made to either of these letters.

In or around the spring of 2025, Fragoza appeared on the Property and erected a fence on the curtilage of APN 2's home, barring use of the alleged easement to APN 1. (CC ¶ 23.)

Cross-Complainants allege that the Assessor's records for APN 1 are incomplete and only go back to 1994 and are missing the rest of the chain of title and that Cross-Complainants had "reasonable belief that they had full right to APN 1." (CC ¶ 29, Ex. O.)

II. Legal Standard

"A demurrer tests the sufficiency of a complaint and admits all facts properly pleaded." (*Setliff v. E.I. Du Pont de Nemours & Co.* (1995) 32 Cal. App. 4th 1525, 1533.) The court assumes the truth of the allegations asserted but does not assume the truth of "contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal. App. 4th 242, 247.) The court can further look at those facts that "reasonably can be inferred from those expressly pleaded, and matters of which judicial notice has been taken." (*Fremont Indemnity Co.*, 148 Cal. App. 4th 100, 111.) In considering the demurrer, the court must accept the allegations set forth in the complaint as true. (*Serrano v. Priest* (1971) 5 Cal.3d 584, 591.)

III. Discussion

A. Fraud or Mistake

To plead a cause of action for fraud, the Cross-Complaint must allege: 1) misrepresentation (or concealment), 2) knowledge of falsity, 2) intent to defraud, 4) justifiable reliance, and 5) damage. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, "Fraud must be specifically pleaded; a general pleading of the legal conclusion of fraud is insufficient. Every element of the cause of action must be alleged in full, factually and specifically." (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1249.)

Fragoza first argues that the cause of action for fraud is barred by the statute of limitations. A cause of action for relief on the grounds of fraud or mistake must be brought within three years of the date of discovery, by the aggrieved party, of the facts constituting fraud or mistake. (Code Civ. Proc. § 338(d).)

The Cross-Complaint alleges that LLC has a grant deed, recorded on or about November 12, 2008, which pertains to the LLC's purchase of real property from Deutsche Bank. (CC ¶ 15, Ex. E.) The LLC Deed expressly identifies only one APN number – APN 2. There is no reference or incorporation of APN 1. The only reference to APN 1 is as part of the easement for the septic system. Cross-Complainants allege this omission was by either fraud or mistake – but either way, as of November 12, 2008, LLC had discovery of the facts constituting fraud or mistake. Even if the LLC could arguably assert that it did not realize the LLC Deed did not include ownership of APN 1, then LLC was again put on notice that someone else claimed ownership of APN 1 in 2011 when LLC received either the Tax Office letter or the letter from Fragoza claiming ownership. In either instance, the LLC's cause of action based on fraud, brought well over three years after such knowledge was gained, is untimely. As there does not appear to be any way to overcome these facts by amending the pleadings, the demurrer on the fraud claim is sustained, as regards the LLC.

As regards the other Cross-Defendants, the Cross-Complaint is devoid of particular facts relating to the content or date of any misrepresentations made to anyone other than the LLC. There are no allegations regarding statements or misstatements made by Stevino, Barry or Carter, nor are there any allegations of reliance or damages.

Accordingly, the demurrer by the LLC as to the third cause of action for fraud or mistake is SUSTAINED, WITHOUT leave to amend. The demurrer on the fraud cause of action brought by the remaining Cross-Defendants is SUSTAINED, WITH leave to amend.

B. Equitable Estoppel

“The doctrine of equitable estoppel is founded on concepts of equity and fair dealing.” (*Strong v. County of Santa Cruz* (1975) 15 Cal.3d 720, 725.) The required elements of this cause of action are: “(1) the party to be estopped must be apprised of the facts; (2) he must intend that his conduct shall be acted upon, or must so act that the party asserting the estoppel has a right to believe it was so intended; (3) the other party must be ignorant of the true state of facts; and (4) he must rely upon the conduct to his injury. (*Ibid.*) The detrimental reliance must be reasonable. (*Schafer v. City of Los Angeles* (2015) 237 Cal.App.4th 1250, 1261.)

Cross-Complainants allege that Fragoza abandoned his interests in the real property after the foreclosure sale. (CC ¶ 52.) Cross-Complainants allege that they detrimentally relied on the belief that the APN 1 and APN 2 were both fully theirs and maintained and used the same for over 15 years. (*Id.* ¶ 53.) Specifically, they assert that they “detrimentally relied on Cross-Defendant’s actions of the sale of the Property to Cross-Complainants and Cross-Defendant Cruz Fragoza’s abandonment of the Property.” (*Id.* ¶ 51.)

The Cross-Complaint does not state a cause of action for equitable estoppel. First, the Cross-Complaint is unclear as to what “facts” Fragoza was allegedly aware and failed to convey to the Cross-Complainants. There is no allegation that Fragoza knew that the LLC intended to purchase APN 1 when it purchased APN 2. Indeed, Fragoza was not involved in the sale of any property to Cross-Complainants. Nor are there any allegations that Fragoza intended for Cross-Complainants to rely on anything nor that his allegations or their reliance were the cause of any injury.

The demurrer as to the fourth cause of action for equitable estoppel is SUSTAINED, WITH leave to amend.

C. Reformation of Deed or Trust

“Reformation is an equitable remedy the essential purpose of which is to ensure the contract, as reformed, reflects the parties’ mutual intention.” (*Komorsky v. Farmers Ins. Exch.* (2019) 33 Cal. App. 5th 960, 974.) In the classic case, the court is empowered to correct a mistake – such as a scrivener’s error – in a contract and insert the appropriate language. (*Pac. Gas & Elec. Co. v. Superior Ct.* (1993) 15 Cal. App. 4th 576, 593, abrogated on other grounds by *Advanced Micro Devices, Inc. v. Intel Corp.* (1994) 9 Cal. 4th 362, 885 P.2d 994.)

Here, there is no allegation of any contract between Fragoza and Cross-Complainants. Therefore there can be no cause of action seeking reformation of any deed or contract between Fragoza and Cross-Complainants.

Accordingly, the demurrer as to the fifth cause of action for reformation is SUSTAINED, WITH leave to amend.

D. Adverse Possession

To establish adverse possession, the claimant must prove: “(1) possession under claim of right or color of title; (2) actual, open, and notorious occupation of the premises constituting reasonable notice to the true owner; (3) possession which is adverse and hostile to the true owner; (4) continuous possession for at least five years; and (5) payment of all taxes assessed against the property during the five-year period.” (*Hansen v. Sandridge Partners, L.P.* (2018) 22 Cal.App.5th 1020, 1032-1033.) The payment of taxes is essential to an adverse possession claim. (*Mehdizadeh v. Mincer* (1996) 46 Cal.App.4th 1296, 1305.)

The Cross-Complaint does not allege that Cross-Complainants paid any taxes on APN 1 – let alone all taxes during a five-year period of continuous possession. While Cross-Complainants allege that they believed they had been making tax payments on APN 1, in 2011 they were notified that no taxes had been paid on APN 1. (CC ¶ 19.) While they assert that their tax non-payment was due to errors by the Tax Office, they have provided no legal authority in opposition to show that such alleged errors can excuse the well-established requirement that taxes be paid in order to claim adverse possession.

Accordingly, the demurrer as to the eighth cause of action for adverse possession is SUSTAINED, WITH leave to amend.

E. Negligent Infliction of Emotional Distress

Negligent infliction of emotional distress “ ‘is not an independent tort, but the tort of *negligence*,” to which “ ‘traditional elements of duty, breach of duty, causation, and damages apply.’ ” (*Downey v. City of Riverside* (2024) 16 Cal.5th 539, 547 [internal citations omitted].) Whether a duty is owed is a question of law and “ ‘its existence depends upon the foreseeability of the risk and a weighing of policy considerations for and against imposition of liability.’ ” (*Mercado v. Leong* (1996) 43 Cal.App.4th 317, 321 [internal citations omitted].) The existence of a duty is an essential element of the tort of negligent infliction of emotional distress. (*Potter v. Firestone Tire & Rubber Co.* (1993) 6 Cal.4th 965, 984.)

Unless the defendant has assumed a duty to plaintiff in which the emotional condition of the plaintiff is an object, recovery is available only if the emotional distress arises out of the defendant’s breach of some other legal duty and the emotional distress is proximately caused by that breach of duty. Even then, with

rare exceptions, a breach of the duty must threaten physical injury, not simply damage to property or financial interests. (*Id.* at 985.)

The Cross-Complaint does not allege any duty owed by Fragoza to any of the Cross-Complainants.

Accordingly, the demurrer as to the ninth cause of action for negligent infliction of emotional distress is SUSTAINED, WITH leave to amend.

F. Financial Elder Abuse

“The elements of a cause of action under the Elder Abuse Act are statutory and reflect the Legislature’s intent to provide enhanced remedies to encourage private, civil enforcement of laws against elder abuse and neglect.” (*Intrieri v. Superior Court* (2004) 117 Cal.App.4th 72, 82.) However, an elder who controls a limited liability company lacks standing to bring an elder abuse claim for harm to the company’s assets. (*Hilliard v. Harbour* (2017) 12 Cal.App.5th 1006, 1015.) For a claim to stand, the elder’s injury must be personal and not simply derivative of the entity’s interests.

Here, the Cross-Complaint alleges Trevino is an elder. It further alleges, however, that the LLC thought it was purchasing APN 1. There are no allegations that Trevino had any interest in the property other than as a member of LLC. As such, the Cross-Complaint does not state a cause of action for elder abuse.

The LLC Deed upon which Cross-Complainants base their instant action clearly shows that LLC was the entity with ownership of APN 2 and a purported interest in APN 1. The Court cannot conceive of a feasible amendment that would allow Trevino to state a cause of action for elder abuse and Trevino did not file any opposition or sought leave to amend.

Accordingly, the demurrer as to the tenth cause of action for financial elder abuse is SUSTAINED, WITHOUT leave to amend.

IV. Conclusion

The demurrer is **SUSTAINED WITHOUT** leave to amend as to the **tenth** causes of action for elder abuse and the **third** cause of action for fraud (**as to LLC only**).

The demurrer is **SUSTAINED WITH** leave to amend as to fourth, fifth, and ninth causes of action, as well as the third cause of action for fraud brought by Cross-Complainants Trevino, Barry, and Carter. **An Amended Cross-Complaint must be filed and served by 3:00 p.m. on December 3, 2025.**

The clerk shall provide notice of this ruling to the parties forthwith. Cross-Defendant LLC to submit a formal Order complying with Rule 3.1312 in conformity with this Ruling.